S&P Capital IQ PRO

# Grupo Bimbo, S.A.B. de C.V. | ESG Scores Raw Data

BMV:BIMBO A (MI KEY: 4276592; SPCIQ KEY: 877906; TCUID: 53231)

**Public**

**Year:** Methodology Year: 2023
**Question:** Supplier Screening
**Include Modeled Scores :** Yes

**Supplier Screening**

### Question

Does the company conduct supplier screening to systematically identify significant suppliers?

### Rationale

Companies not only outsource production, services, and business processes but responsibilities, risks, and opportunities as well. On one hand, outsourcing generally tends to increase a company's flexibility, but on the other hand, supply chain risks might become less apparent, new dependencies may arise, and the identification, monitoring, and management of risks and opportunities in the supply chain may become more difficult.

An important first step in supply chain management is to try to understand supply chain risks and dependencies from the ESG and business operation perspective. Once a company has identified significant suppliers, it can focus supplier monitoring and development efforts on those suppliers with the highest risk for negative impacts and greatest business relevance (this aspect is examined in subsequent questions). Therefore, this question seeks to assess if companies have a systematic approach to screening suppliers in order to identify potential sustainability risks in their supply chain. Companies that are able to properly identify significant suppliers will also be better positioned to prioritize their risk management measures and proactively detect issues connected to suppliers' ESG performance.

| Performance Summary | |
|---|---|
| **Question Level Company Performance** | 22 |
| **Question Weight** | 15 |
| **Year-on-Year Change** | 0 |
| **Industry Average Score** | 11 |
| **Industry Highest Score** | 100 |

*The question layout and the company's verified information is provided below. No information is shown if the company did not provide any information or if it opted out of sharing non-public information.*

**Additional Question Guidance & Information Display**

**Key Definitions**

**Supplier screening:** Supplier screening is systematic desk research of suppliers' risk for negative ESG impacts and their business relevance, considering available data sources such as country, sector, or commodity ESG risks, spending, business relevance, etc. Methodology development and screening process can be realized by the company itself, or with the support of or through external specialists. Screening can be considered the initial step to identify potential sustainability risks in the supply chain and it is then followed by assessing suppliers. At this stage, the company is not likely to be engaging directly with the supplier in order to screen them.

**Significant suppliers:** Significant suppliers are suppliers that are identified as having substantial risks of negative ESG impacts or significant business relevance to the company or a combination of both. The portfolio of significant suppliers should be the key audience of a company's supplier ESG assessment and development program. Critical suppliers identified are also accepted as significant suppliers, even though in most cases only business relevance, and not ESG risk, is considered when identifying critical suppliers.

**Environmental aspects:** The risk for negative impacts related to environmental topics, including but not limited to greenhouse gas emissions, energy consumption, water consumption, resource efficiency, pollution, waste, or biodiversity.

**Social aspects:** The risk for negative impacts related to social topics, including but not limited to human rights and labor rights such as child labor, forced labor, discrimination, freedom of association, right to collective bargaining, working hours, remuneration, occupational health and safety, or the rights of local communities.

**Governance aspects:** The risk for negative impacts related to governance topics, including but not limited to corruption, bribery, conflicts of interest, or anti-competitive practices.

**Business relevance:** Business relevance considerations, including but not limited to share of spend/volume and substitutability.

**Country-specific risk:** Risk for negative environmental, social, and governance impacts related to a country's political, social, economic, environmental or regulatory situation.

**Sector-specific risk:** Risk for negative environmental, social, and governance impacts related to a sector's distinct characteristics regarding labor situation, energy consumption, resource intensity, emissions, or pollution potential (e.g. manufacturing, service provision, agriculture).

**Commodity-specific risk:** Risk for negative environmental, social, and governance impacts related to a commodity's supply chain structure, labor situation, land-use and resource intensity, energy consumption, emissions, material toxicity, or pollution potential (e.g. metals, fossil fuels, wood, soy, cotton)

**Data Requirements**

This question requires a risk screening carried out by the company or third party, therefore the indication of a self-assessment conducted by the suppliers, or generally using Ecovadis would not be accepted as the Ecovadis assessment is collecting supplier policies, practices, and performance and qualifies as a Supplier Desk Assessment with verification of evidence (see Supplier Assessment and Development question). We will only accept the usage of the Ecovadis if it is specified that risk maps or risk screening tools provided were used for this purpose (e.g. Ecovadis IQ plus).

**Supporting evidence:**

This question requires public evidence. Please indicate where in your public reporting you report information about the selected options.

**Not Applicable – General Rule**

"Not Applicable" for this question (beyond the industries detailed below) will only be accepted for special cases. In such cases, the company must credibly explain via a comprehensive company comment and/or public reporting that it does not purchase goods or services for the purposes below. To be granted "Not Applicable", the company must state they:

- Do not use goods or services in the company's production processes, and
- Do not re-sell goods or services to the company's customers, and
- Do not utilize goods or services as capital goods (e.g. machines/infrastructure) in company's operations.

**Industry-specific special cases:**

**REI – Equity Real Estate Investment Trust (REITs):** companies that have only marked 'Management of Standing Investments' as the main activity of the business in question '0.1 Denominator Area' should mark "Not Applicable" in this question.

**REM – Real Estate Management & Development:** companies that have only marked 'Services' as the main activity of the business in question '0.1 Denominator Area', should mark "Not Applicable" in this question.

**OIE - Energy Equipment & Services Industry:** Services Companies (consultancy or seismic surveying), should mark "Not Applicable" in this question.

**Standards & Frameworks**

CDP Climate - C12.2, C12.2a

CDP Water Security - W4.2a

GRI Disclosure - 308-1, 414-1

UNGC Questionnaire - G6, G7

WEF Metrics - Integrating risk and opportunity into business process

**Data View**

| QUESTION LEVEL INPUT | COMPANY ANSWER |
|---|---|
| Company applies supplier screening to systematically identify significant suppliers | Applicable |
| Environmental aspect is considered in the company's supplier screening methodology | - |
| Social aspect is considered in the company's supplier screening methodology | - |
| Governance aspect is considered in the company's supplier screening methodology | - |
| Business relevance is considered in the company's supplier screening methodology | YES |
| Country-specific risks are considered in the company's supplier screening methodology | - |
| Sector-specific risks are considered in the company's supplier screening methodology | - |
| Commodity-specific risks are considered in the company's supplier screening methodology | - |

**Questionnaire**

Does your company apply supplier screening to systematically identify significant suppliers (Please see infotext for the definition)?

1. ●

   Yes, our company has a systematic supplier screening approach to identify significant suppliers. Please provide public supporting evidence with reference to the description of selected options.

   **Aspects of suppliers screening**

   Please indicate which of the following aspects are considered in your screening process for significant suppliers.

   1. ☐

      Environmental
   2. ☐

      Social
   3. ☐

      Governance
   4. ☑

      Business relevance

   **Methodology for suppliers screening**

   Please indicate which of the following risks are considered in your screening process for significant suppliers.

   1. ☐

      Country-specific risk
   2. ☐

      Sector-specific risk
   3. ☐

      Commodity-specific risk
2. ○

   No, we do not publicly disclose our supplier screening approach to identify significant suppliers.
3. ○

   Not applicable. Please provide an explanation in the comment box below.

**Confidential additional comments**

Use the text field below only in the following cases: (i) to describe significant changes in data or calculation methodology compared to last year's submission, (ii) to explain why a question is not applicable to your company's business model, (iii) to explain if your data deviates from the unit or format requested, or (iv) to provide supporting notes on translations of non-English references.